

complaint

Mr S complains that his landlord insurance was mis-sold to him by UK Insurance Limited ("UKI").

background

Mr S took out landlord insurance with UKI for his three rental properties on 1 September 2014. Previously he'd had similar cover with another insurer.

On 28 November 2014, Mr S called UKI to inform it that one of the properties (insured for a rebuild value of £750,000) – had been without tenants since 1 November 2014. He also told UKI that he had no tenants lined up. UKI told Mr S the property would be removed from the policy immediately. It said this was because it had a rebuild value of more than £250,000 and it only continued to insure un-occupied properties where the rebuild value was £250,000 or less. UKI calculated that Mr S was due a premium refund of £447.25.

Mr S went on holiday on 29 November 2014. He had to arrange cover for the unoccupied property whilst he was abroad. The new policy (with a different insurer) started on 1 December 2014. The premium was over £2,000.

Mr S complained to UKI. He was unhappy that he was given no grace period in which to find an alternative insurer meaning his property was left uninsured for two days. He complained that UKI had told him it couldn't give him a grace period because he hadn't told it about the change in circumstances within 20 days (as required under the policy terms and conditions). He explained that nowhere in the policy document did it say that properties with a rebuild value in excess of £250,000 which are unoccupied won't be insured. He also said that it didn't state how many days he had until he had to contact UKI if the property did become unoccupied. Finally, he said that UKI had mis-sold the policy to him because it clearly wasn't fit for insuring properties with a rebuild value greater than £250,000.

UKI said that its underwriters classed un-occupied properties as being higher risk. It said its policy booklet was clear that policyholders had to inform UKI of any change regarding the property or the risk. It said because Mr S hadn't contacted it as soon as the property was untenanted, it wasn't able to extend cover. Finally, it said it had the right to cancel the policy completely if the risk was amended – it hadn't done so.

Mr S complained to this service that the policy was mis-sold. He said he wants compensation for having to pay more to insure the unoccupied property with another insurer and for the stress UKI caused him.

Our adjudicator investigated the complaint and recommended that it be upheld in part. He thought the 'Change of Risk' policy condition was burdensome and serious and so should have been brought specifically to Mr S's attention at the point of sale. As he'd seen no evidence that UKI had brought the condition to Mr S's attention at the point of sale, he recommended that UKI pay Mr S £100 for its failure to do so, and for the stress he had suffered in being forced to try and find immediate replacement cover.

Both UKI and Mr S asked for the complaint to be referred for an ombudsman's decision.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

There is no dispute that Mr S saw the policy document when taking out the policy. The policy contained the following condition:-

'Change of Risk or Interest

*This Policy will cease to be in force if: ...
c any alteration is made either in the Business or at the Premises or in any property
or in any other circumstances where the risk is increased
at any time after the Effective Date (as stated in the Schedule) of the Period of
Insurance, unless its continuance be agreed by Us."*

I think that a situation where tenants have left a property and no new occupants are lined up is covered by this condition. As such, UKI was contractually permitted to have cancelled Mr S's whole policy immediately he informed it that his tenants had left. However, UKI took the reasonable step of only removing the un-occupied property from the policy.

I do think that the 'Change of Risk or Interest' condition is a significant one with potentially very serious consequences. It says the policy will cease with immediate effect – that is, there is no 'grace' period allowing the cover to continue for, say, seven or fourteen days. I think the condition should've been drawn specifically to Mr S's attention at the point of sale. However, I've seen nothing that was brought to Mr S's attention in either a policy summary or Key Facts document. I don't think directing Mr S to the policy wording during the online sales process sufficiently discharges UKI's responsibility in this respect.

It's not uncommon for there to be periods where a tenanted property stands empty. Mr S has said that if the change of risk clause had been brought to his attention then he wouldn't have taken the policy out. I'm also unable to overlook the fact there's no mention in the policy wording that UKI can't, or won't, insure un-occupied properties with a rebuild value above £250,000. Yet it was happy to insure two of Mr S's properties with rebuild values greater than this, without drawing this to his attention.

I think, on balance, Mr S would've acted differently if the policy's limitations had been brought to his attention when the policy was sold. It didn't provide him with full enough information to make an informed choice about the policy he was buying. UKI could've cancelled the policy in full when it found out about the un-occupied property, and didn't, which I think this was fair and reasonable. UKI also arranged for an immediate refund of the portion of Mr S's policy premium which related to the property in question. But, I do think compensation is warranted. I think UKI should pay Mr S £100 compensation for failing to draw the change of risk condition to his attention and for the inconvenience he was caused as a result of having to arrange alternative cover at short notice.

my final decision

My final decision is that I uphold this complaint in part. I require UK Insurance Limited to pay Mr S compensation of £100 for the inconvenience it caused him.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr S to accept or reject my decision before 11 December 2015.

Claire Woollerson
ombudsman